

SOFI (SOFI)

\$15.23 (Stock Price as of 03/27/2026)

Price Target (6-12 Months): **\$18.00**

Long Term: 6-12 Months

Zacks Recommendation:

Neutral

(Since: 02/12/25)

Prior Recommendation: Outperform

Short Term: 1-3 Months

Zacks Rank: (1-5)

3-Hold

Zacks Style Scores:

VGM: F

Value: F

Growth: D

Momentum: B

Summary

SOFI positions itself as a leader, leveraging its online banking services and the Galileo platform to expand its market presence. Lower interest rates provide a favorable environment for SOFI's lending business, encouraging customer growth through competitive loan and refinancing options. The company's focus on innovation, including new product launches and strategic partnerships, bolsters its reputation as a forward-thinking competitor to traditional banks. However, SOFI's heavy reliance on personal loans exposes it to significant credit risk, particularly in an uncertain economic climate. The absence of dividend payouts further limits its appeal to income-seeking investors, making SOFI a mixed prospect for potential stakeholders. Overall, shares have gained 36% in a year, and we have a neutral recommendation on it.

Data Overview

52 Week High-Low	\$32.73 - \$8.60
20 Day Average Volume (sh)	70,806,944
Market Cap	\$19.4 B
YTD Price Change	-41.8%
Beta	2.21
Dividend / Div Yld	\$0.00 / 0.0%
Industry	Financial - Miscellaneous Services
Zacks Industry Rank	Bottom 39% (149 out of 244)

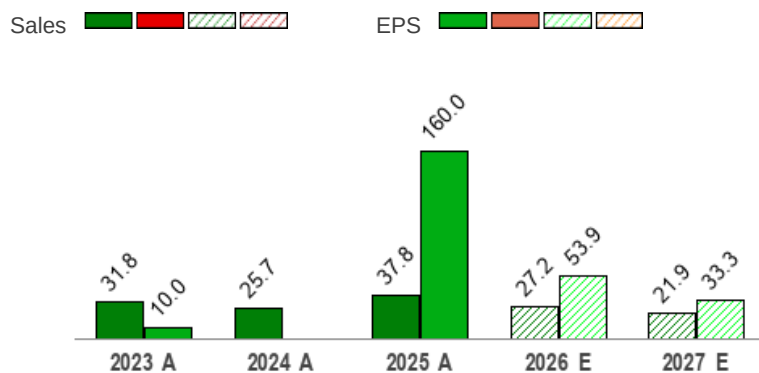
Last EPS Surprise	8.3%
Last Sales Surprise	3.2%
EPS F1 Est- 4 week change	0.0%
Expected Report Date	05/05/2026
Earnings ESP	0.0%

P/E TTM	40.1
P/E F1	25.4
PEG F1	0.6
P/S TTM	5.4

Price, Consensus & Surprise⁽¹⁾



Sales and EPS Growth Rates (Y/Y %)⁽¹⁾



Sales Estimates (millions of \$)⁽¹⁾

	Q1	Q2	Q3	Q4	Annual*
2027	1,312 E	1,395 E	1,465 E	1,506 E	5,569 E
2026	1,041 E	1,126 E	1,203 E	1,243 E	4,567 E
2025	771 A	858 A	950 A	1,013 A	3,591 A

EPS Estimates⁽¹⁾

	Q1	Q2	Q3	Q4	Annual*
2027	0.18 E	0.19 E	0.21 E	0.21 E	0.80 E
2026	0.12 E	0.14 E	0.16 E	0.18 E	0.60 E
2025	0.06 A	0.08 A	0.11 A	0.13 A	0.39 A

*Quarterly figures may not add up to annual.

(1) The data in the charts and tables, including the Zacks Consensus EPS and sales estimates, is as of 03/27/2026.

(2) The report's text and the price target are as of 03/19/2026.

Overview

San Francisco-based SoFi Technologies was founded in 2011. It is a member-centric one-stop shop for financial services that via its Lending and Financial Services products, enables members to borrow, save, spend, invest and safeguard their money.

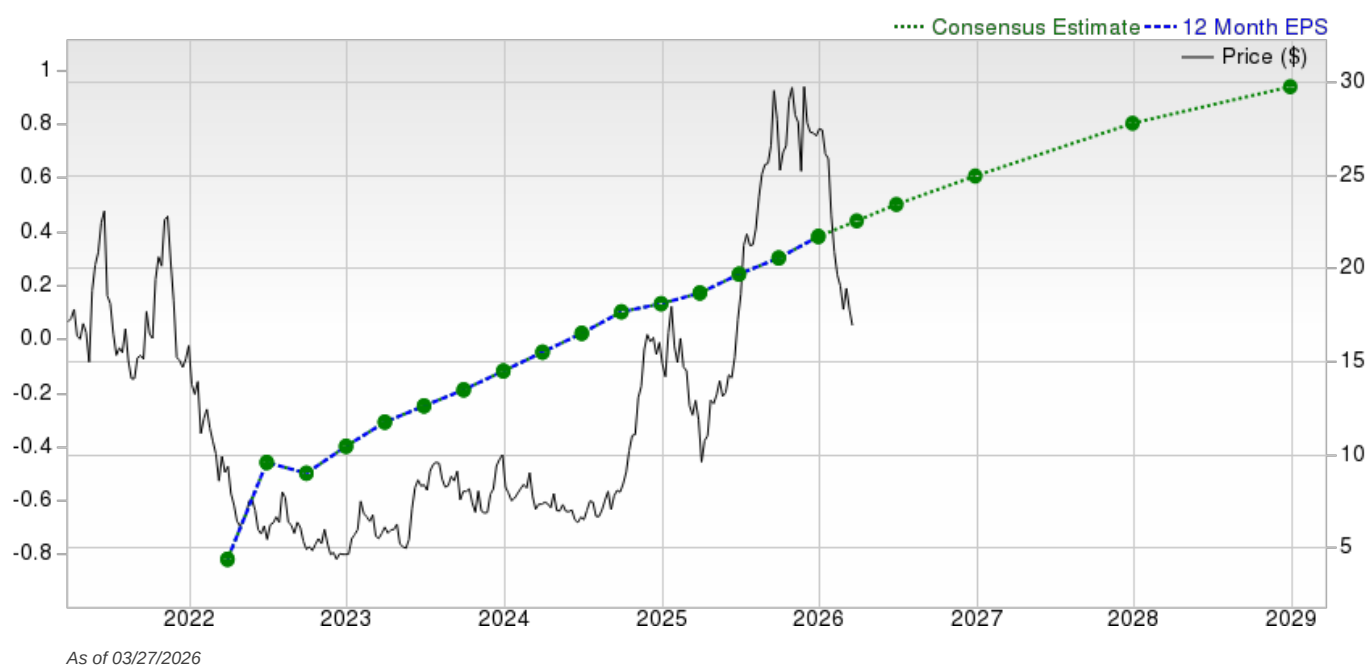
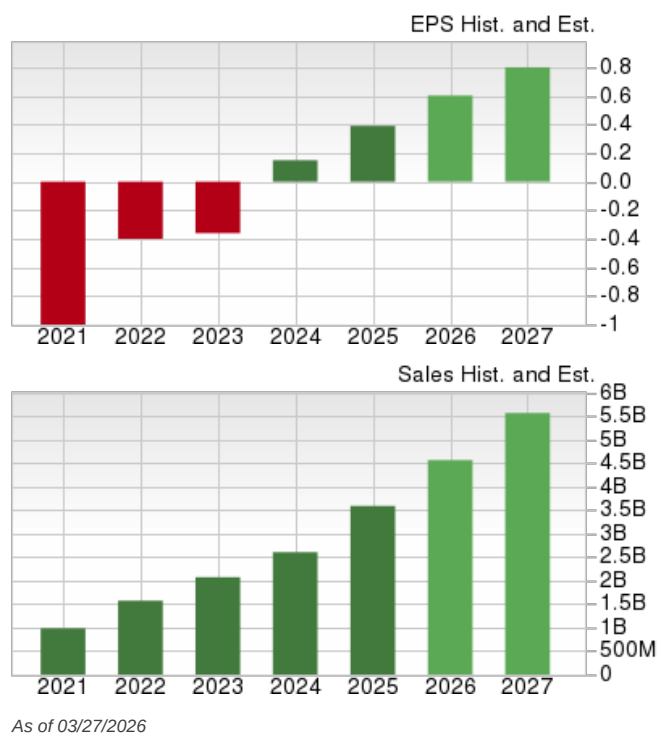
The company's mission is to help its members achieve financial independence to realize their ambitions. SOFI has three reportable segments: Lending, Technology Platform and Financial Services.

Through the lending segment (50% of FY25 revenues), the company offers personal loans, student loans, home loans, and related servicing. The lending process mainly leverages an in-application, digital borrowing experience that serves as a competitive edge. This segment generated \$1 billion in profit, which was up 14% from 2024.

SOFI's technology platform services (12% of FY25 revenues) are offered via a diversified suite of applications that include an event and authorization platform that manages app events and user permissions and is accessed through application programming interfaces, a cloud-native digital and core banking platform, and services to both platforms. This segment generated \$144.4 million in profit, which was a 14% increase from 2025.

Financial services (42% of FY25 revenue) let members borrow, save, spend, invest, and protect their money and personal, student, and home loans, along with related services. This segment generated \$793 million in profit, which was a 158% increase from 2025.

In 2025, the company generated \$3.6 billion in revenues, indicating an increase of 35% from 2024 levels. SOFI added nearly 2.9 million new members in 2025, which took the total member count to more than 13.6 million.



Reasons To Buy:

- ▲ Continuous digitalization across all industries, particularly in the financial sector, presents a significant opportunity for SOFI. As a company focusing on online banking and offering a comprehensive suite of products and services, SOFI is well-positioned to benefit from this trend. The **demand for online financial platforms is expected to rise** and SOFI's technology platform, Galileo, integral to its banking business, is being adopted by other financial firms. While conventional banks are also building their digital platforms, the acceleration in Galileo adoption positions SOFI to become a major player. Also, smaller traditional banks may very well want to license an existing platform that enables interoperability rather than building their own platform, which will be more expensive. This also adds to SOFI's growth potential. Partly due to this positive, shares have soared 36% in the past year.
- ▲ The Federal Reserve's recent **rate cuts have significantly boosted SOFI** by alleviating pressure on its lending business. Lower interest rates reduce borrowing costs, encouraging more customers to take loans and refinance existing ones. This improves SoFi's loan origination volumes and enhances its overall profitability. These rate cuts are particularly beneficial in a challenging macroeconomic environment, where borrowers seek affordability, helping SoFi grow its customer base and improve its financial performance. They extended a trend of reductions throughout 2025, which is expected to continue into 2026.
- ▲ SOFI's student loan-refinance business stands out due to **less generous loan-forgiveness policies** under the Trump administration. Stricter forgiveness criteria may prompt borrowers to seek refinancing options to lower repayment costs, creating opportunities for SoFi to expand its customer base. By offering competitive rates and flexible terms, SoFi is well-positioned to attract borrowers seeking relief from higher repayment burdens. This shift in policy could revive demand for private refinancing, which had slowed under broader forgiveness programs. As a result, SoFi's refinance segment could experience increased growth, strengthening its position in the market and contributing to its overall revenue. Banking on this positive, the consensus mark for total interest income for 2026 is expected to surge 19.7% year over year.
- ▲ SOFI's **larger scale** supports a more efficient cost structure. This remains critical to its success, as seen in third-quarter numbers. During the fourth quarter of 2025, the company achieved a remarkable 40% year-over-year increase in net sales. The momentum is expected to continue, as collaborations and new launches augment the business. Its recent \$2 billion partnership with Fortress Investment Group aims to diversify its revenue streams toward fee-based, less capital-intensive models. New collaborations, like the Nova Credit integration, enhance SoFi's risk assessment capabilities and expand its market reach, while innovative product launches, such as two new credit cards, further bolster growth potential and customer engagement.

SOFI benefits from digitalization, rate cuts, strong operating leverage, innovative products, and strategic partnerships.

Reasons To Sell:

- ▼ A key factor deterring investment in SOFI is its heavy reliance on the personal loan segment, which exposes the company to credit risk. Personal loans constitute nearly 70% of SOFI's lending portfolio. While this segment has driven revenue growth, it inherently carries a higher default risk, especially in uncertain economic conditions or when interest rates are elevated. Furthermore, SOFI's strategy to scale this segment may amplify its exposure to delinquency rates, potentially impacting profitability. For risk-averse investors, the company's **dependence on unsecured personal loans** raises concerns about the sustainability of its growth, making this a critical factor that tempers enthusiasm for its stock.
- ▼ SOFI's liquidity is under pressure due to a **hefty current liability account**. As of Dec 31, 2025, the company reported a current ratio of 0.78 compared to the industry average of 1.2. SOFI falls below the threshold typically indicative of strong liquidity. A ratio below 1 suggests potential challenges in meeting short-term financial obligations. This imbalance raises concerns about the company's ability to manage its liabilities efficiently, which could impact its operational flexibility and investor confidence, making liquidity a key area for improvement in SOFI's financial strategy.
- ▼ SOFI has not declared and does not have a plan to pay cash dividends, making share price appreciation the sole avenue for returns. This approach aligns with growth-focused strategies but may not appeal to income-seeking investors who rely on regular dividend payouts. The **lack of dividends** means that investors are entirely dependent on the company's ability to increase its stock value, which is subject to market volatility and business performance.

SOFI's reliance on personal loans, weak liquidity, and lack of dividends deter risk-averse investors seeking stability and consistent income.

Last Earnings Report

SoFi Technologies' (SOFI) fourth-quarter 2025 results were undeniably strong, yet the stock's response told a more complicated story. Despite earnings and revenue beating expectations, shares have declined roughly 9% since the results were released on Jan. 30.

That divergence between fundamentals and price action is precisely why this earnings review comes with a short pause. The market had time to digest the numbers, reset expectations and reassess valuation, making it clearer whether this was a one-day headline beat or something more structurally meaningful.

FY Quarter Ending **12/31/2025**

Earnings Reporting Date	Jan 30, 2026
Sales Surprise	3.15%
EPS Surprise	8.33%
Quarterly EPS	0.13
Annual EPS (TTM)	0.38

A Quarter That Reinforced SOFI's Consistency

SoFi closed the quarter with adjusted earnings per share of 13 cents, which surpassed the Zacks Consensus Estimate by 8.3% and marked a massive improvement of 160% from the prior year. This was the fourth consecutive quarter in which SoFi exceeded consensus earnings estimates, signaling growing reliability in execution.

Quarterly revenues crossed a milestone, exceeding \$1 billion for the first time. Revenues also beat the Zacks Consensus Estimate by 3.2%. On a year-over-year basis, adjusted net revenues expanded at a high double-digit rate, reflecting sustained demand across lending, financial services and platform operations. Growth was broad-based rather than concentrated, helping reduce reliance on any single business line and supporting a more balanced earnings profile.

SOFI's Profitability Moves Further into Focus

Operating performance was one of the most notable takeaways from the quarter. Adjusted EBITDA of \$317.6 million grew meaningfully faster than revenues, pushing margins above 30% and reinforcing that SoFi's cost structure is beginning to scale efficiently.

Adjusted net income of \$173.5 million rose 184% from the prior year, supported by improving margins and disciplined expense growth. GAAP profitability was maintained as well, extending the company's streak of profitable quarters. This consistency matters, especially given SoFi's earlier perception as a growth-first fintech. The earnings profile now reflects a company transitioning toward sustainable profitability rather than one reliant on favorable macro conditions.

Member Growth and Product Expansion Strengthen the Core Model

Member growth remained a key driver of SoFi's momentum. Total members increased 35% to 13.7 million. Product growth of 37% to 20.2 million outpaced member additions, highlighting rising engagement across the platform.

A significant portion of new products was adopted by existing members, reinforcing the effectiveness of SoFi's cross-selling strategy. This dynamic supports higher lifetime value per customer and improves monetization without requiring proportional increases in acquisition spending. Brand investment and product innovation continue to feed into this cycle, strengthening the company's ecosystem over time.

Fee-Based Revenues Add Balance to SOFI's Business Mix

One of the most constructive elements of the quarter was the acceleration in fee-based revenues. Growth of 53% in this segment outpaced overall revenue expansion, helping diversify income streams and reduce dependence on net interest income alone.

The Loan Platform Business played a meaningful role here, growing 15% year over year and contributing high-margin revenues while also supporting capital-light growth. At the same time, interchange, brokerage, and referral-related revenues showed healthy momentum, reinforcing the value of SoFi's expanding product suite.

Lending Performance Remains Solid and Controlled

Lending continued to scale, with total originations reaching a record level of \$10.5 billion during the quarter. Personal loans remained the primary contributor, supported by continued growth in student and home lending products.

Credit performance stayed within management's expectations, with personal-loan charge-offs down 57 basis points year over year. While some metrics reflected normal portfolio seasoning, overall charge-off trends improved on a year-over-year basis. Management reiterated confidence in long-term loss assumptions, supported by performance data from recent loan vintages. This balance between growth and credit discipline remains central to the investment thesis.

Technology Platform Shows Progress Beneath the Surface

The Technology Platform segment delivered steady revenue growth of 19% year over year, even as total enabled accounts declined following the transition of a large client. While the headline account number drew attention, contribution margins improved, indicating a shift toward higher-quality, more profitable relationships.

This segment continues to play a strategic role, offering longer-term optionality while contributing positively to consolidated profitability.

SOFI's Outlook Provides Continuity Rather Than Stretch

Management's guidance for 2026 points to continued growth across revenues, earnings and margins, with medium-term expectations reinforcing sustained expansion beyond the near term. The outlook aligns closely with recent execution trends rather than assuming a step-change in operating conditions.

Total members are expected to grow by at least 30% year over year, reinforcing confidence in sustained customer acquisition and engagement. Adjusted net revenues are projected to be approximately \$4.66 billion, implying around 30% year-over-year growth, driven by continued momentum across lending, financial services, and the platform ecosystem.

Profitability is set to scale alongside growth. Adjusted EBITDA is expected to reach roughly \$1.6 billion, translating to an EBITDA margin of about 34%. Adjusted net income is projected at approximately \$825 million, implying a margin near 18%, while adjusted earnings per share are expected to come in around 60 cents, reflecting strong bottom-line expansion.

For the first quarter of 2026, management expects adjusted net revenues of approximately \$1.04 billion, adjusted EBITDA of around \$300 million, adjusted net income of roughly \$160 million, and adjusted EPS of approximately 12 cents. This guidance suggests steady sequential performance following the strong finish to 2025.

Recent News

On **Mar 03, 2026**, SOFI announced an enhanced partnership with Mastercard to make SoFiUSD as a settlement option across Mastercard's global payments network.

On **Jan 20, 2026**, SoFi's SoFi at Work platform was named as a partner in GoTu's announcement to enhance financial well-being for dental professionals.

The tie-up expands SoFi's ecosystem footprint by embedding its financial tools within a niche workforce platform.

Valuation

SOFI shares declined 42.4% in the past six months but gained 36% over the trailing 12-month period. Stocks in the Zacks sub-industry and the Zacks Finance sector are down 30.3% and 2.2% in the past six months, respectively. Over the past year, the Zacks sub-industry has declined 15.3%, while the sector has increased 11.1%.

The S&P 500 index is up 1.8% in the past six months and 23.5% in the past year.

The stock is currently trading at 26.57X trailing 12-month price to earnings, which compares to 9.85X for the Zacks sub-industry, 15.49X for the Zacks sector, and 21.63X for the S&P 500 index.

Our Neutral recommendation indicates that the stock will perform in line with the market. Our \$18.00 price target reflects 28.13X trailing 12-month PE.

The table below shows a summary of valuation data for SOFI

Valuation Multiples - SOFI					
		Stock	Sub-Industry	Sector	S&P 500
P/E F12M	Current	26.57	9.85	15.49	21.63
	5-Year High	NA	25.23	18.27	23.8
	5-Year Low	NA	9.85	12.36	15.73
	5-Year Median	48.5	16.19	16.1	21.23
P/S F12M	Current	4.58	2.71	8.94	4.99
	5-Year High	15.49	3.71	10.04	5.63
	5-Year Low	1.97	1.51	6.64	3.82
	5-Year Median	3.86	2.47	8.48	5.07
P/B TTM	Current	2.09	2.78	4.09	7.89
	5-Year High	NA	4.06	4.4	9.15
	5-Year Low	NA	1.72	2.85	6.59
	5-Year Median	1.72	2.6	3.55	8.09

As of 03/18/2026

Source: Zacks Investment Research

Industry Analysis⁽¹⁾ Zacks Industry Rank: Bottom 39% (149 out of 244)

Top Peers⁽¹⁾



Company (Ticker)	Rec	Rank
Alerus Financial (ALRS)	Outperform	2
XP Inc. (XP)	Outperform	2
Bread Financial Hold...(BFH)	Neutral	3
Coincheck Group N.V. (CNCK)	Neutral	2
Lazard, Inc. (LAZ)	Neutral	3
Lufax Holding Ltd. S...(LU)	Neutral	
Rithm Capital Corp. (RITM)	Neutral	3
Virtu Financial, Inc...(VIRT)	Neutral	3

Industry Comparison⁽¹⁾ Industry: Financial - Miscellaneous Services

Industry Peers

	SOFI	X Industry	S&P 500	ALRS	LU	VIRT
Zacks Recommendation (Long Term)	Neutral	-	-	Outperform	Neutral	Neutral
Zacks Rank (Short Term)	3	-	-	2		3
VGM Score	F	-	-	C		A
Market Cap	19.42 B	300.24 M	39.25 B	598.71 M	1.58 B	6.58 B
# of Analysts	8	2	22	3	0	6
Dividend Yield	0.00%	0.00%	1.51%	3.56%	0.00%	2.26%
Value Score	F	-	-	B		A
Cash/Price	0.28	0.28	0.04	0.12	NA	0.81
EV/EBITDA	17.60	2.31	13.50	10.68	NA	1.78
PEG Ratio	0.59	0.82	1.76	NA	NA	1.31
Price/Book (P/B)	1.85	0.90	3.31	1.06	0.14	3.30
Price/Cash Flow (P/CF)	27.15	8.74	13.82	6.69	NA	6.83
P/E (F1)	25.38	10.14	17.91	9.09	NA	8.98
Price/Sales (P/S)	5.38	2.04	3.04	1.50	0.46	1.81
Earnings Yield	3.94%	8.20%	5.57%	10.99%	NA%	11.15%
Debt/Equity	0.17	0.06	0.56	0.10	NA	1.03
Cash Flow (\$/share)	0.56	0.26	9.58	3.52	-0.55	6.23
Growth Score	D	-	-	D	NA	C
Hist. EPS Growth (3-5 yrs)	NA%	-0.14%	7.41%	-11.94%	NA	-6.81%
Proj. EPS Growth (F1/F0)	53.85%	16.79%	9.95%	-6.83%	NA	-17.28%
Curr. Cash Flow Growth	66.11%	2.50%	7.96%	89.76%	-327.45%	119.30%
Hist. Cash Flow Growth (3-5 yrs)	46.02%	11.74%	8.87%	10.08%	NA	-6.17%
Current Ratio	0.78	1.35	1.19	0.90	NA	0.47
Debt/Capital	14.75%	10.37%	37.99%	9.48%	NA	50.82%
Net Margin	13.34%	5.82%	12.63%	4.36%	NA	12.90%
Return on Equity	5.88%	7.01%	17.16%	13.18%	NA	48.35%
Sales/Assets	0.08	0.19	0.53	0.08	NA	0.19
Proj. Sales Growth (F1/F0)	27.20%	4.00%	5.59%	4.10%	6.50%	-5.70%
Momentum Score	B	-	-	D		A
Daily Price Chg	-4.03%	-2.15%	-1.67%	-2.44%	-3.70%	-2.12%
1 Week Price Chg	-9.88%	-1.52%	-2.12%	0.86%	-11.22%	2.14%
4 Week Price Chg	-14.25%	-7.94%	-7.41%	-1.13%	-30.00%	2.68%
12 Week Price Chg	-44.54%	-14.74%	-7.14%	4.99%	-32.34%	30.43%
52 Week Price Chg	28.52%	-7.64%	14.12%	28.80%	-38.51%	12.61%
20 Day Average Volume	70,806,944	290,131	3,198,579	129,307	2,079,616	1,113,052
(F1) EPS Est 1 week change	0.00%	0.00%	0.00%	0.00%	NA	0.00%
(F1) EPS Est 4 week change	0.00%	0.00%	0.00%	0.00%	NA	1.47%
(F1) EPS Est 12 week change	3.27%	0.00%	0.50%	5.56%	NA	8.93%
(Q1) EPS Est Mthly Chg	0.00%	0.00%	0.00%	0.00%	NA	4.67%

Zacks Stock Rating System

We offer two rating systems that take into account investors' holding horizons: Zacks Rank and Zacks Recommendation. Each provides valuable insights into the future profitability of the stock and can be used separately or in combination with each other depending on your investment style.

Zacks Recommendation

The Zacks Recommendation aims to predict performance over the next 6 to 12 months. The foundation for the quantitatively determined Zacks Recommendation is trends in the company's estimate revisions and earnings outlook. The Zacks Recommendation is broken down into 3 Levels; Outperform, Neutral and Underperform. Unlike many Wall Street firms, we have an excellent balance between the number of Outperform and Neutral recommendations. Our team of 70 analysts are fully versed in the benefits of earnings estimate revisions and how that is harnessed through the Zacks quantitative rating system. But we have given our analysts the ability to override the Zacks Recommendation for the 1200 stocks that they follow. The reason for the analyst over-rides is that there are often factors such as valuation, industry conditions and management effectiveness that a trained investment professional can spot better than a quantitative model.

Zacks Rank

The Zacks Rank is our short-term rating system that is most effective over the one- to three-month holding horizon. The underlying driver for the quantitatively-determined Zacks Rank is the same as the Zacks Recommendation, and reflects trends in earnings estimate revisions.

Zacks Style Scores

The Zacks Style Score is as a complementary indicator to the Zacks rating system, giving investors a way to focus on the highest rated stocks that best fit their own stock picking preferences.

Academic research has proven that stocks with the best Value, Growth and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. We also produce the VGM Score (V for Value, G for Growth and M for Momentum), which combines the weighted average of the individual Style Scores into one score. This is perfectly suited for those who want their stocks to have the best scores across the board.

Value Score	F
Growth Score	D
Momentum Score	B
VGM Score	F

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Recommendation of Outperform, which also has a Style Score of an A or a B.

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